HEAL HOUSE

DRAFT FOR DISCUSSION · HH-MODEL-0005 · NOV 5 2026

36–48 STEELES AVE E / 37–49 HIGHLAND PARK BLVD · MARKHAM · IN RECEIVERSHIP

Three towers, one *healing* community

An approved two-tower site at Yonge & Steeles, bought out of receivership: affordable and market rental, a Heal House retirement residence with wellness stays, and a boutique condo tower — anchored by the Building Ontario Fund, BCH and CMHC. Heal House buys the site from the court-appointed receiver.

1,216 homes	$593.7M	$58.0M	$108.5M	$37.7M
250 AFFORDABLE · +80 SUITES	TOTAL PROGRAM COST	BUILDING ONTARIO FUND	BCH, ALL REPAID BY YR 10	SPONSOR EQUITY, RENTAL TOWERS

01 · THE THREE TOWERS

TOWER	HOMES	COST	YR-1 NOI / PROFIT
A · 44 storeys · affordable + market rental	555 (167 aff.)	$237.2M	$10.8M
B · 40 storeys · Heal House retirement residence	411 (83 aff.)	$216.4M	$10.8M
B · wellness-stay suites + Heal House podium	80 keys	$27.3M	$1.3M
C · 23 storeys · boutique condo (to be approved)	250	$112.7M	$51.3M profit
Total	**1,216**	**$593.7M**	

02 · HOW THE SITE COMES TOGETHER

1. **LiUNA's pension backs Nesting Ground's guarantee pool**, lifting the land loan from $19.5M to the full $31.0M price — an $11.5M guarantee.
2. **Heal House buys from the court-appointed receiver** and pays out the secured lenders; $8.7M of equity at purchase covers transfer tax, carry and pre-development.
3. **Tower A and Tower B close construction financing**; each tower's stack retires its share of the land loan.
4. **Sunray funds the wellness-stay suites** ($27.3M); **Tower C** follows once rezoned, sold through presales.
5. **At Year 10**, refinancing repays every BCH dollar; the Fund stays in Tower B to Year 20; Heal House keeps the buildings.

03 · WHAT WE NEED TO RAISE

$58.0M — Building Ontario Fund — Tower B, $141K/home, to Year 20

$108.5M — BCH — 10-year loan, repaid in full at Year 10

$226.8M — CMHC MLI Select, Towers A + B

$22.7M — City of Markham — incentives / DC relief

$37.7M — Sponsor equity — $8.7M at purchase, rest at construction close

$11.5M — Land-loan guarantee — LiUNA via Nesting Ground

$27.3M — Sunray — wellness-stay suites

$22.5M — Tower C equity (20% of cost), later phase

04 · WHAT IT RETURNS

Tower A — Year-10 cash · sponsor multiple	$58.5M · 6.1x
Tower B — Year-10 cash · sponsor multiple	$58.8M · 6.4x
Tower C — condo profit at $1,050/sf	$51.3M · 31%
Heal House — fees, wellness days, memberships	$2.1M EBITDA/yr

BCH gets all $108.5M back at Year 10. The Fund is paid 4% a year and repaid at Year 20. Heal House then owns Tower A ($92.5M equity) and Tower B ($60.6M equity).

HEAL HOUSE

A sanctuary for healing.

Sources: Approved 40/44-storey scheme, 858,648 sf (Colliers brochure, Jun 2026); split between towers by storeys — unverified vs stamped set · Arterial hard cost: $370/sf (40–60 storeys), $340/sf (20–40 storeys), Markham (Nov 4–5 2026) · Arterial comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp · CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 via Arterial · Markham multi-res tax 0.8397% (Arterial, 2025) · ESTIMATE — no Arterial Markham/York DC data; affordable homes assumed DC-exempt · ASSUMPTION — licensed retirement home with two services: 1-bed $6,000, 2-bed $7,800/mo all-in; 92% occ.; 62% expenses incl. 5% Heal House management fee; 6.0% cap · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask over ~2,000 homes = $75.5K/home · ASSUMPTION — 80 wellness-stay suites, ADR $185, 72% occ., 30% NOI margin, funded by Sunray cash · ASSUMPTION — Tower C 23 storeys, ~180,000 sf (Colliers pre-consultation, Jun 2025), not approved; $1,050/sf base; Arterial income value ~$712/sf as downside · BCH as a 10-year loan, payment- and interest-free to Year 10, repaid in full from a Year-10 MLI Select refinance (capped at 1.20x coverage; 85% LTV Tower A, 75% Tower B). Building Ontario Fund on Tower B paid 4% a year and repaid at a Year-20 refinance. Illustrative scenario for discussion — not a valuation, offer, commitment or financial advice. Subject to receiver and court approval, CMHC, BCH, Building Ontario Fund and City of Markham approvals, LiUNA trustee approval and legal review.

TOWER B · HEAL HOUSE RETIREMENT RESIDENCE · BUILDING ONTARIO FUND

Retirement living, with care *built in*

411 retirement suites with two services — 83 held affordable for 40 years — over a Heal House podium, with 80 wellness-stay suites for families, recovery and wellness days.

$28.5M	$10.8M	2.07x	$58.0M	$22.5M
REVENUE, RENT + SERVICES	NOI AFTER 62% EXPENSES	DEBT COVERAGE, YR 1	BUILDING ONTARIO FUND · TO YR 20	BCH · ALL BACK AT YR 10

01 · CAPITAL STACK — TOWER B RESIDENCE

SOURCE	AMOUNT	SHARE
CMHC MLI Select — 4.25%, 50-yr	$108.2M	50.0%
Building Ontario Fund — 4% a year, repaid at Year 20	$58.0M	26.8%
BCH — 10-year loan, repaid in full at Year 10	$22.5M	10.4%
City of Markham	$10.8M	5.0%
Sponsor equity — land + pre-development	$16.9M	7.8%
Total cost	**$216.4M**	**100%**

02 · YEAR 10 — BCH REPAID IN FULL

Year-11 NOI · value	$14.5M · $242.3M
New MLI Select loan at 1.20x	$181.7M
Repays first mortgage	($100.4M)
Repays BCH in full	($22.5M)
Cash to sponsor · sponsor return	**$58.8M · 6.4x**

03 · YEAR 20 — THE FUND REPAID

Fund paid 4% a year from Year-11 cash flow of $5.8M	$2.3M/yr
Year-20 refinance frees, after the Year-10 loan	$75.6M
Repays the Building Ontario Fund	($58.0M)
Left over after the Fund	**$17.6M**

04 · HEAL HOUSE INCOME ON THE SITE

Management fee — 5% of Tower B revenue	$1.4M
Wellness days — 25% of suite guests × $150 (50% margin)	$0.4M
Tower A memberships — 111 × $350/mo (50% margin)	$0.2M
Heal House EBITDA · podium rent-free	**$2.1M**

05 · IF IT RUNS LEANER

At 65% expenses and 90% occupancy, NOI is $9.7M, coverage 1.87x, and the Year-10 refinance still repays BCH in full with $40.8M to spare.

06 · WHY BCH AND THE FUND BACK IT

- **Mirrors CMHC's MLI Select retirement-home financing** — the same route as Heal House Listowel — and **BCH gets every dollar back at Year 10**.
- **Seniors' housing and health care in one building**, with 83 homes affordable for 40 years.
- **Modern construction and building technology:** Cube Building Systems, with construction management by V1 — Mike McGrath, formerly of Tucker HiRise.
- **A pension partner alongside:** LiUNA, through Nesting Ground's guarantee pool.

07 · STATED OPENLY

- **Licensed retirement home** under Ontario's Retirement Homes Act, like Heal House Listowel; an experienced operator or management contract until Heal House has a track record.
- **Rents of $6,000 / $7,800 all-in need a Markham market study.** Earlier Listowel/Barrie figures (~$14,000/room) are well above market and are not used.
- BCH modelled interest-free to Year 10; at 4.5% it is still repaid with $46.4M to spare. The Fund's 4% return and terms are placeholders.

Sources: ASSUMPTION — licensed retirement home with two services: 1-bed $6,000, 2-bed $7,800/mo all-in; 92% occ.; 62% expenses incl. 5% Heal House management fee; 6.0% cap · Heal House GR brief (Nov 3 2026): ~$151M Building Ontario Fund ask over ~2,000 homes = $75.5K/home · ASSUMPTION — 80 wellness-stay suites, ADR $185, 72% occ., 30% NOI margin, funded by Sunray cash. Illustrative scenario for discussion.

TOWER A · AFFORDABLE + MARKET RENTAL · TOWER C · BOUTIQUE CONDO

Homes for every *stage* of life

Tower A carries the affordable and market rental on the existing approval. Tower C adds a boutique condo tower once rezoned — the condo profit is the program's upside.

01 · TOWER A — 555 RENTAL HOMES, 167 AFFORDABLE

$10.8M	1.88x	$253.2M
STABILIZED NOI	COVERAGE, YR 1	VALUE AT 4.25%

SOURCE	AMOUNT	SHARE
CMHC MLI Select — 4.25%, 50-yr	$118.6M	50.0%
BCH — 10-year loan, repaid in full at Year 10	$86.0M	36.2%
City of Markham	$11.9M	5.0%
Sponsor equity — land + pre-development	$20.8M	8.8%
Total cost	**$237.2M**	**100%**

02 · TOWER A AT YEAR 10

Year-11 NOI · value	$14.8M · $347.1M
New MLI Select loan at 1.20x	$254.6M
Repays first mortgage	($110.1M)
Repays BCH in full	($86.0M)
Cash to sponsor · sponsor return	**$58.5M · 6.1x**

03 · TOWER C — 250 BOUTIQUE CONDOS

Sales — 156,200 sf at $1,050/sf	$164.0M
Construction — 180,000 sf at $340/sf	($61.2M)
Soft costs, financing, rezoning	($14.2M)
Development charges (estimate)	($21.2M)
Sales and marketing (6%)	($9.8M)
Land for the added density ($35/sf)	($6.3M)
Profit · margin on sales	**$51.3M · 31%**

04 · CONDO PRICING DECIDES IT

SALE PRICE	PROFIT	MARGIN
$712/sf — Arterial income value	$1.6M	1%
$900/sf	$29.2M	21%
$1,050/sf	$51.3M	31%
$1,200/sf	$73.3M	39%

05 · STATED OPENLY

- **Tower C is not approved.** Markham staff raised concerns about the 49/44/24-storey version; rezoning takes 12–24 months.
- **GTA condo presales are weak;** lenders want 60–70% presold. Below ~$900/sf the tower is better held as rental.
- BCH's $86.0M on Tower A is repaid in full at Year 10 — with $11.0M to spare even if BCH charges 4.5%.
- Development charges are estimates; tower floor areas are split by storeys pending stamped drawings.

Sources: Arterial hard cost: $370/sf (40–60 storeys), $340/sf (20–40 storeys), Markham (Nov 4–5 2026) · Arterial comps, Yonge/Steeles leasing: 1BR $2,338 (5), 2BR $2,963 (4); 3BR $3,500 adj. from 1 comp · CMHC Markham zone avg rents 1BR $1,720 · 2BR $1,850 · 3BR $1,834 via Arterial · ASSUMPTION — Tower C 23 storeys, ~180,000 sf (Colliers pre-consultation, Jun 2025), not approved; $1,050/sf base; Arterial income value ~$712/sf as downside · ESTIMATE — no Arterial Markham/York DC data; affordable homes assumed DC-exempt. Illustrative scenario for discussion — not a valuation, offer, or financial advice.